

or medium-sized industrial enterprise, which makes them ill-suited to bond financing. A tacit recognition of this weakness has been responsible in part for the growing adoption of conversion and subscription-warrant privileges in connection with industrial-bond financing.⁹ To what extent such embellishments can compensate for insufficient safety will be discussed in our chapters on Senior Securities with Speculative Features. But in any event the widespread resort to these profit-sharing artifices seems to confirm our view that bonds of smaller industrial companies are not well qualified for consideration as fixed-value investments.

Unavailability of Sound Bonds No Excuse for Buying Poor Ones.

However, if we recommend that straight bond investment in the industrial field be confined to companies of dominant size, we face the difficulty that such companies are few in number and many of them have no bonds outstanding. It may be objected further that such an attitude would severely handicap the financing of legitimate businesses of secondary size and would have a blighting effect on investment-banking activities. The answer to these remonstrances must be that no consideration can justify the purchase of unsound bonds at an investment price. The fact that no good bonds are available is hardly an excuse for either issuing or accepting poor ones. Needless to say, the investor is never forced to buy a security of inferior grade. At some sacrifice in yield he can always find issues that meet his requirements, however stringent; and, as we shall point out later, attempts to increase yield at the expense of safety are likely to prove unprofitable. From the standpoint of the corporations and their investment bankers, the conclusion must follow that if their securities cannot properly qualify as straight investments, they must be given profit-making possibilities sufficient to compensate the purchaser for the risk he runs.

Conflicting Views on Bond Financing. In this connection, observations are in order regarding two generally accepted ideas on the subject of bond financing. The first is that bond issues are an element of weakness in a company's financial position, so that the elimination of funded debt is always a desirable object. The second is that when companies are unable to finance through the sale of stock it is proper to raise money by

⁹ See Chap. 22 Note 3.